

Backup Strategy Landscape - the Honest View

Net of fees, after stripping out marketing. None are free money - ranked by what actually survives.

The reframe: stop predicting direction - harvest edges in market **structure**. The durable ones are market-neutral; their #1 risk is the **venue, not the market** (FTX 2022; Hyperliquid JELLY 2025). Paper-trade with real costs first.

STRATEGY	NET (AFTER FEES)	TOP RISK	DOABILITY
1 Funding-rate arbitrage Market-neutral carry	8-20%/yr 0-5% when choppy	Venue / counterparty risk; funding can flip negative	● ● ●
2 Pairs / stat-arb Market-neutral mean-reversion	Low-vol steady, modest	Cointegration breaks at regime shifts / crashes	● ● ●
3 Fix the ML (Lopez de Prado) Corrected prediction	Pending your live test	The edge may simply not exist in these features	● ● ○
4 Cross-sectional momentum Factor . trend	Sharpe ~1 fading post-2021	Crash risk; effectiveness decayed after 2021	● ● ○
5 Market making Spread capture	Thin competitive	Latency & fees; no honest fills on testnet	● ○ ○
6 Deep reinforcement learning Prediction (ML)	= noise overfits	Mostly false positives in the literature	● ○ ○

☒ Most durable . market-neutral

☐ Improve / robust factor

☐ High effort . low odds

● ○ = doability

Read the numbers honestly: every figure is after-fee and regime-dependent - good-market returns, not averages.

Funding arb is the best-fit pivot (market-neutral, fits your Hyperliquid interest), but the venue risk is the real story.

Plan: let the current bot finish its verdict, then prototype funding arb on one coin, paper-traded, margin math explicit.